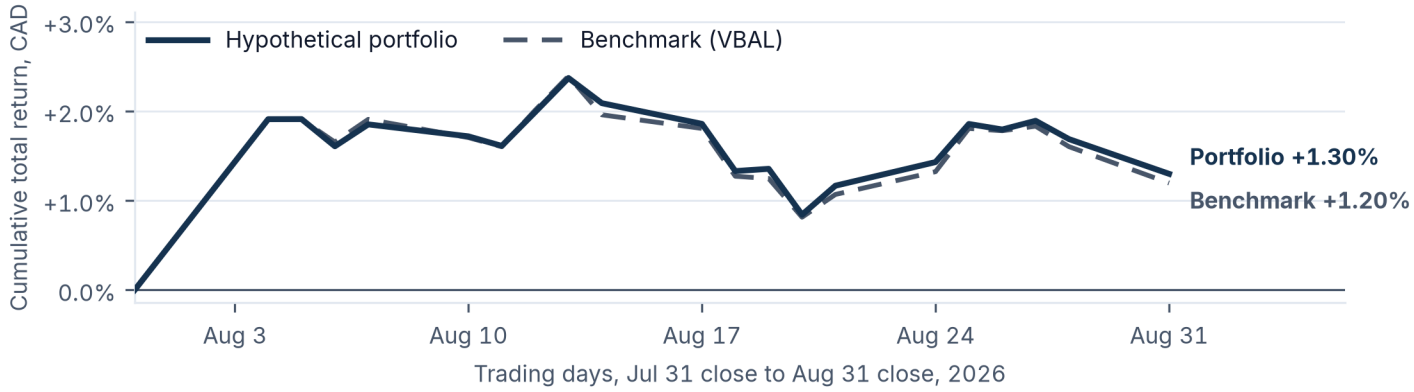
August 2026 Market & Portfolio Report

As of the August 31, 2026 close | CAD | Hypothetical portfolio (60/40) vs VBAL benchmark

+1.30%	+1.20%	+0.10 pp	+1.30 pp	0.00 pp
Hypothetical portfolio	Benchmark (VBAL)	Difference	Equity contribution	Bond contribution



Cumulative total return since the Jul 31 close, daily. Source: [1]. Facts are cited; interpretation is labelled.

Equities led and bonds stood still, so the balanced mix gained 1.30% in August

Facts. The hypothetical portfolio returned +1.30% against +1.20% for the benchmark, a difference of +0.10 pp. The equity sleeve returned +2.17% and added +1.30 pp; the bond sleeve returned −0.01% and added 0.00 pp. [1]

Interpretation. A small gap to a 60/40 benchmark is what two index-fund mixes should produce. Stocks did the work; bonds gave little cushion.

Market overview

Segment (ETF proxy)	Total	Price
Canadian equity (XIC)	+3.06%	+3.06%
US equity (XUU)	+1.53%	+1.53%
Intl developed equity (XEF)	+0.96%	+0.96%
Emerging markets equity (XEC)	+4.22%	+4.22%
Canadian aggregate bonds (XBB)	−0.21%	−0.50%
Canadian short-term bonds (XSB)	+0.18%	−0.07%
US high-yield bonds (XHY)	+0.64%	+0.12%
Benchmark (VBAL)	+1.20%	+1.20%

Rates, currency	Jul 31	Aug 31	Change	As of
USD/CAD	1.4029	1.3866	−1.16%	Aug 31
Canada 2-yr (%)	2.91	3.01	+10 bp	Aug 31
Canada 10-yr (%)	3.65	3.73	+8 bp	Aug 31
BoC overnight (%)	2.25	2.25	0 bp	Aug 31

Total and price returns of ETF proxies, CAD. Yields and USD/CAD: Bank of Canada. [1][2]

Theme: a firmer Canadian dollar trimmed foreign-equity gains

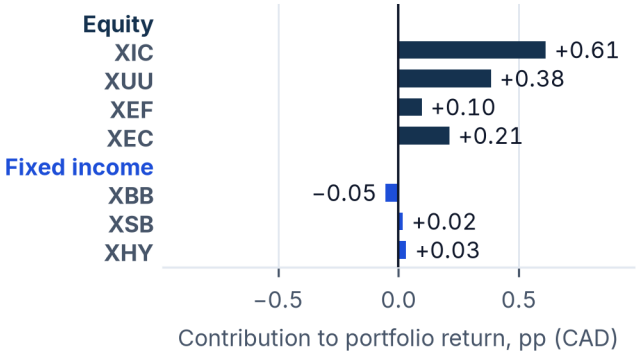
- USD/CAD fell from 1.4029 to 1.3866 (−1.16%): a US dollar bought fewer Canadian dollars at month-end. [2]
- Unhedged US, international and emerging-market ETFs are 40.0% of the portfolio and report in CAD after currency moves. XUU returned +1.53%. [1]
- On July 15 the Bank of Canada linked earlier Canadian-dollar weakness to higher US than Canadian yields. These sources do not establish why the currency firmed in August. [3]

Interpretation. Illustration only: if XUU's US assets earned about +2.73% in US dollars, the currency move took roughly −1.19 pp off the CAD return (indicative: ETF closes and daily-average rates differ in timing). Unhedged exposure is a deliberate diversifier: it adds return when the Canadian dollar weakens and trims it when it firms. One month does not argue for changing it.

Portfolio and benchmark detail

Holding	Start weight	Price return	Total return	Contribution	End weight	Drift
XIC Canadian equity	20.0%	+3.06%	+3.06%	+0.61 pp	20.3%	+0.35 pp
XUU US equity	25.0%	+1.53%	+1.53%	+0.38 pp	25.1%	+0.06 pp
XEF Intl developed equity	10.0%	+0.96%	+0.96%	+0.10 pp	10.0%	−0.03 pp
XEC Emerging markets equity	5.0%	+4.22%	+4.22%	+0.21 pp	5.1%	+0.14 pp
XBB Canadian aggregate bonds	25.0%	−0.50%	−0.21%	−0.05 pp	24.6%	−0.37 pp
XSB Canadian short-term bonds	10.0%	−0.07%	+0.18%	+0.02 pp	9.9%	−0.11 pp
XHY US high-yield bonds	5.0%	+0.12%	+0.64%	+0.03 pp	5.0%	−0.03 pp
Equity sleeve	**60.0%**	—	**+2.17%**	**+1.30 pp**	**60.5%**	**+0.52 pp**
Fixed-income sleeve	**40.0%**	—	**−0.01%**	**0.00 pp**	**39.5%**	**−0.52 pp**
Hypothetical portfolio	**100.0%**	—	**+1.30%**	**+1.30 pp**	**100.0%**	—
Benchmark (VBAL)	—	+1.20%	+1.20%	—	—	—

Start weights: portfolio set to target weights at inception. Price return excludes distributions. [1]



Equity implications

Canada (+3.06%) and emerging markets (+4.22%) led. US (+1.53%) and developed international (+0.96%) gained less in CAD. The sleeve ended at 60.5% of the portfolio, +0.52 pp above target.

Fixed-income implications

Canada's 2-year yield rose +10 bp and the 10-year +8 bp, lowering bond prices. Distributions offset most of it: XBB returned −0.21% against −0.50% in price. The sleeve finished at −0.01%. [1][2]

Maintain or rebalance (illustrative)

Maintain. The largest holding drift is 0.37 pp (band 1.5 pp); the largest sleeve drift is 0.52 pp (band 2.0 pp). No trade triggers, so drifted weights carry into September. A reset would trade 0.55% of the portfolio.

Counterargument. For acting: yields are rising, three FOMC members preferred a hike on July 29 [4], and bonds gave no cushion. For patience: drift is inside the bands and one month of yields is weak evidence of a trend.

Downside risks

- Rates: further yield rises would hurt bonds. [2]
- Currency: a firmer Canadian dollar trims the 40.0% unhedged foreign assets.
- Policy and trade: Middle East war and US trade policy. [3]

What to monitor

- **Bank of Canada, Sep 2.** [3]
- **FOMC, Sep 15-16.** [4][5]
- **Canada yields and USD/CAD.** [2]

Method and sources

Total return: closing prices, distributions reinvested at the ex-date close, net of fund expenses. Weights are beginning-of-month, set to target at the July 31 close. Contribution is weight times return, not formal attribution. Foreign-market ETFs are CAD-listed, so no currency conversion is applied. Sources retrieved 2026-10-14; [3] and [4] were published before the cutoff.

[1] Yahoo Finance, ETF closes and distributions, Jul 31 to Aug 31. finance.yahoo.com/quote/XIC.TO/history/

[2] Bank of Canada Valet, FX, yields, overnight target, to Aug 31. bankofcanada.ca/valet/observations/

[3] Bank of Canada, rate announcement, Jul 15, 2026. bankofcanada.ca/2026/07/fad-press-release-2026-07-15/

[4] Federal Reserve Board, FOMC statement, Jul 29, 2026. federalreserve.gov/newsevents/pressreleases/monetary20260729a.htm

[5] Federal Reserve, FOMC meeting calendar, schedule. federalreserve.gov/monetarypolicy/fomccalendars.htm

[6] BlackRock and Vanguard Canada, fund pages (index objectives only). blackrock.com/ca/investors/en/products/ vanguard.ca/en/product/etf/asset-allocation/9578/